



Online Consumer Behaviour

CONSUMER BEHAVIOUR

SWAROOP MOAHNTY

Roll No: N3124BBA044





What is Consumer Behaviour?

Definition & Core Study

Consumer behaviour is the study of how **individuals, groups, or organizations** select, buy, use, and dispose of **ideas, goods, and services** to satisfy their **needs and wants**. It involves understanding the **psychology and motivations** behind everyday purchases.

Physical Store Example

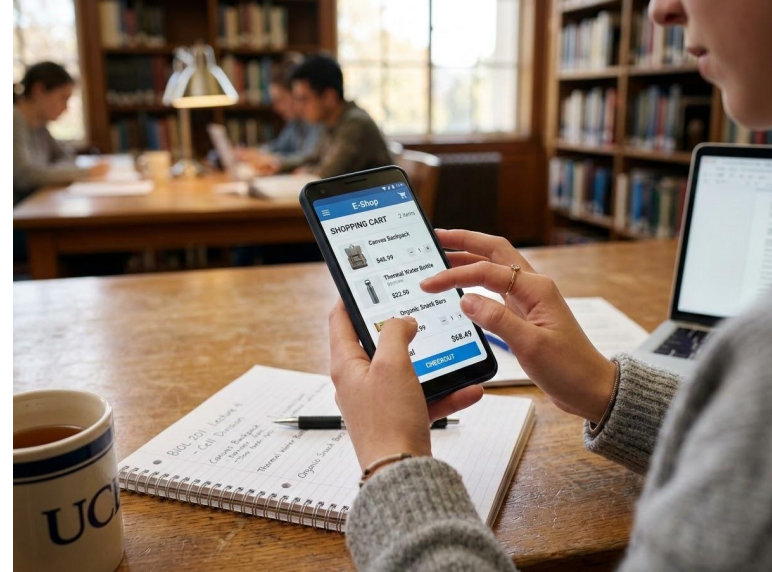
For example, in physical shopping, a student might visit a local stationery shop, physically touch a notebook to check the paper quality, compare it with another brand on the shelf, and then make a cash purchase based on that immediate physical evaluation.



Meaning of Online Consumer Behaviour

Online consumer behaviour refers to the process of purchasing products or services over the internet. It encompasses how consumers interact with digital platforms, browse electronic catalogs, and make purchasing decisions without physical interaction with the product or the salesperson.

Instead of walking down store aisles, online consumers navigate through search engines, click on digital ads, compare prices across multiple browser tabs, read user reviews, and finalize their transactions using electronic payment methods.





Why Online Consumer Behaviour is Important

India's Booming E-Commerce & Connectivity

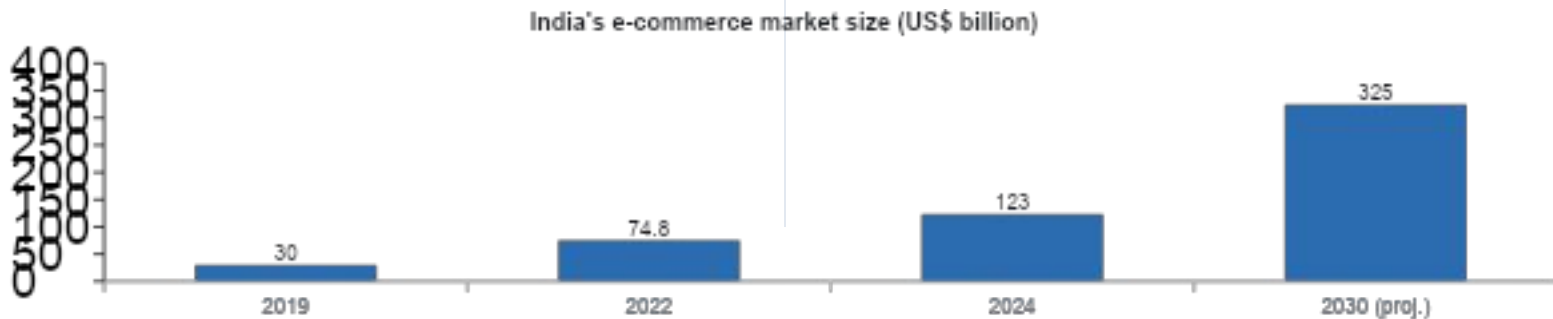
Understanding digital habits is crucial for modern marketers. India's e-commerce market is expanding rapidly, driven by increased smartphone penetration and widespread internet access.

As millions of new consumers come online, analyzing their behavioral patterns becomes the foundation for any successful digital commercial strategy.

Strategic Personalization & Loyalty

By studying online behaviour, brands can create highly targeted advertising campaigns and offer personalized product recommendations.

This critical knowledge helps companies optimize the user experience on their apps, significantly reduce shopping cart abandonment rates, and build long-term digital loyalty in a highly competitive digital marketplace.

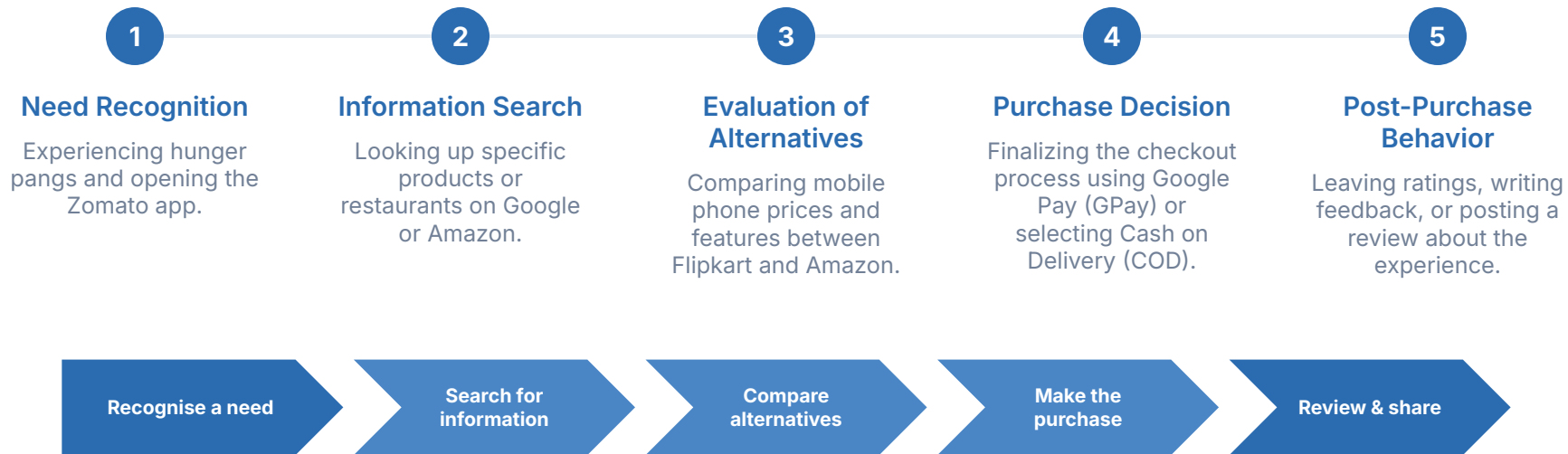


Source: IBEF, Invest India / Statista estimates (figures vary by report)



The Online Consumer Decision-Making Process

The digital buying journey involves five distinct stages:



Each stage feeds the next — a poor post-purchase experience shapes the next need recognition.

Factors Influencing Online Consumers



Price & Discounts

Price and Discounts Flash sales and digital coupons attract initial consumer interest.

Exclusive Offers Online-only bundles and credit card tie-ups heavily influence the final choice.

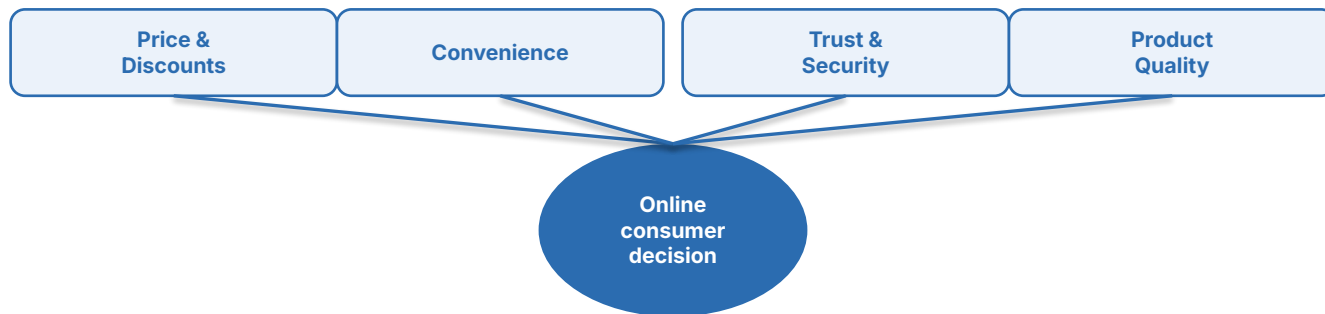
Convenience

Convenience Quick commerce platforms like Swiggy and Zomato thrive on offering fast, doorstep delivery.

Trust & Security

Trust and Security Options like Cash on Delivery (COD) build trust for consumers hesitant about digital payments.

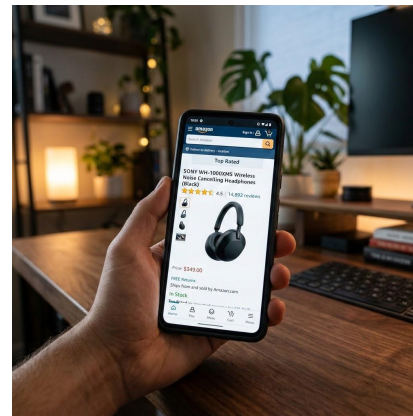
Product Quality Detailed descriptions and high-resolution images help convey quality.



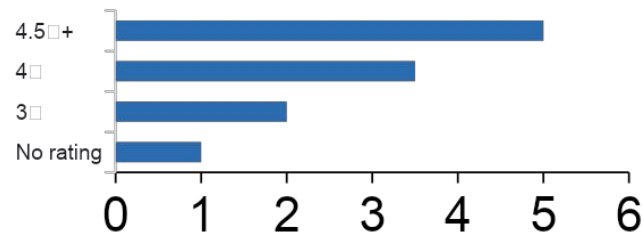


The Role of Reviews and Ratings

- **The 'Amazon Influence':** Social proof is a powerful driver in digital commerce. A product displaying a 4.5-star rating with thousands of user reviews will consistently outsell an unrated alternative, even if the unrated item is priced lower.
- **Mitigating Risk:** Online consumers rely heavily on peer feedback, user-uploaded photos, and detailed written reviews to mitigate the perceived risk of buying products they cannot physically inspect.



Social proof lifts conversion (illustrative)



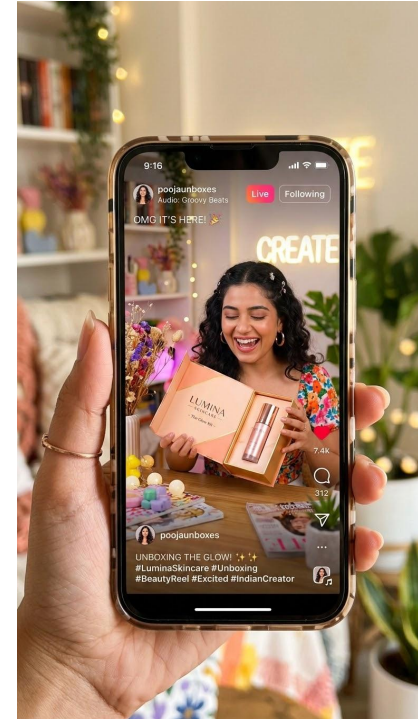


Influence of Social Media & Influencers

Modern Digital Storefronts Social media platforms heavily influence purchasing habits. Instagram Reels, YouTube hauls, and product unboxings create immediate consumer desire.

Parasocial Audience Trust Influencers build powerful parasocial trust with their audience, transforming casual scrolling and discovery into highly impulsive buying behaviors.

Instant Purchase Triggers A single viral review or targeted recommendation from a trusted content creator can instantly trigger mass purchases and completely deplete brand inventory.



Personalization and Recommendations



Digital platforms utilize advanced algorithms to track search history and browsing behavior, making it feel like apps can *"read our minds."*

This seamless data aggregation creates highly personalized user experiences tailored to individual preferences.

Algorithmic Tracking

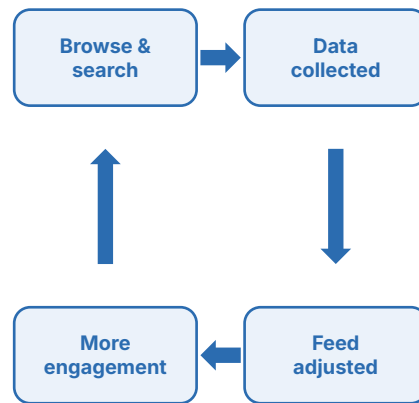
- Monitors search history and behavioral patterns to map out user preferences.
- Anticipates future user needs to design highly tailored interface journeys.

Platform Highlights

Amazon: Uses 'Customers who bought this also bought' features to drive continuous secondary consumption.

YouTube: Curates custom tailored video feeds engineered to maximize platform stickiness and engagement.

The personalisation loop



Outcome: Platforms successfully sustain user attention by continuously adjusting experiences based on their unique digital footprint.

Simple Case Study: Amazon



Amazon actively shapes consumer habits through strategic platform features designed to maximize sales:

- **One-Click Buy:** Reduces purchase friction and encourages immediate transactions.
- **Prime Delivery:** Creates an expectation for instant gratification and fast shipping.
- **Recommended Section:** Drives cross-selling by showing related items based on browsing history.
- **Customer Review System:** Establishes the ultimate trust metric, allowing shoppers to verify quality through peer feedback before buying.





Advantages and Challenges of Online Consumer Behaviour

Advantages

- Unmatched convenience and 24/7 shopping access.
- Easy price comparison across multiple digital platforms.
- Access to a massive variety of global products and brands.

Challenges

- Inability to physically touch, feel, or try on products before purchase.
- The prevalence of fake reviews and misleading product descriptions.
- Hassles related to returns, refunds, and delayed shipping logistics.

Conclusion & References



Conclusion

Online consumer behaviour is primarily driven by convenience, digital trust, and personalization. As digital platforms continue to evolve, understanding these purchasing patterns remains essential for modern marketing success and brand growth.

References

[01]

Standard BBA Consumer Behaviour textbooks.

[02]

Case studies on Indian E-commerce (Amazon, Flipkart).

[03]

Digital Marketing Journals.

